	Would need to be available online and delivered (in paper or electronic format) upon request	Rule 30e-1(b)(2) and (b)(3)	
Remuneration paid to directors, officers, and others *(Form N-1A Item 27(b)(3))*	Move to Form N-CSR Would need to be available online and delivered (in paper or electronic format) upon request	Item 10 of Form N-CSR Rule 30e-1(b)(2) and (b)(3)	Section II.D.1.e
Statement regarding the basis for the board's approval of investment advisory contract *(Form N-1A Item 27(d)(6)(i))*	Move to Form N-CSR Would need to be available online and delivered (in paper or electronic format) upon request	Item 11 of Form N-CSR Rule 30e-1(b)(2) and (b)(3)	Section II.D.1.f
Management information and statement regarding availability of additional information about fund directors *(Form N-1A Item 27(b)(5) and (6))*	Remove from shareholder reports, but information would remain available in a fund's SAI, which is available online or delivered upon request		Section II.E
Rule 30e-3 disclosure, if applicable *(Form N-1A Item 27(d)(7))*	Remove from shareholder reports		Section II.G
Funds have discretion to provide other information in their shareholder reports (*e.g.*, president's letters)	Limit annual report disclosure to that which is permitted or required under proposed Item 27A of Form N-1A	Instruction 1 to Item 27A(a) of Form N-1A	Section II.B.1.b

1. Scope of Annual Report Disclosure, and Registrants Subject to Amendments

We propose to limit the scope of funds' annual reports in several respects to reduce their overall length and complexity. First, we propose to require a fund to prepare separate annual reports for each of its series. Second, we generally propose to limit the content a fund may include in its annual report.

a. Scope With Respect to Separate Series and Classes

Many mutual funds and ETFs are organized as single registrants with several series (sometimes referred to as portfolios).[108] Each series has its own investment objectives, policies, and restrictions. The Federal securities laws and Commission rules often treat each series as a separate fund.[109] A single fund or series can have multiple share classes. Classes typically differ based on fee structure, with each class having a different sales load and distribution fee. Series and classes of a registrant are often marketed separately, without reference to other series or classes or to the registrant's name.[110]

Currently, fund registrants may prepare a single shareholder report that covers multiple series. We believe this approach contributes to the length and complexity of shareholder reports. For example, a shareholder that is invested in one series of the registrant would need to spend more time searching through the report to find disclosure related to his or her investment. Moreover, a shareholder report that provides information for multiple series

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108 *See* sections 18(f)(1) and (2) of the Investment Company Act [15 U.S.C. 80a-18(f)(1) and (2)]; rule 18f-2 under the Investment Company Act [17 CFR 270.18f-2].

109 *See, e.g.*, 17 CFR 270.22c-2(c)(2); 17 CFR 270.22e-4(a)(5); General Instruction A to Form N-1A (defining "fund" to mean a registrant or a separate series of the registrant).

110 *See* Rulemaking for EDGAR System, Investment Company Act Release No. 26990 (July 18, 2005) [70 FR 43558 (July 27, 2005)], at text following n.17.

may present an increased risk of shareholder confusion. For instance, if two series included in the same shareholder report were to have similar names, there could be a greater risk that a shareholder would mistakenly review information that does not relate to his or her investment. Because the length and complexity associated with multi-series shareholder reports are inconsistent with our goal of creating concise shareholder report disclosure that a shareholder can more easily use to assess and monitor his or her ongoing fund investment, we are proposing to require fund registrants to prepare separate annual reports for each series of the fund.[111] As a result, a shareholder would receive an annual report that only addresses the series in which he or she is invested. We believe that this more-focused annual report would be more relevant to shareholders than a multi-series report and, accordingly, shareholders would be more likely to read such disclosure.

Although we are proposing to restrict funds' annual reports to include only one series of a fund, our proposal would not require a shareholder report to cover a single class of a multiple-class fund.[112] Because different share classes of a fund represent interests in the same investment portfolio, much of the proposed shareholder report disclosure would be the same

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[111] *See* Instruction 4 to proposed Item 27A(a). Similarly, we have generally required that registrants present summary information separately for each fund in a multiple fund prospectus to promote the goal of concise, readable summaries. *See* 2009 Summary Prospectus Adopting Release, *supra* footnote 10, at text accompanying nn.43-60. Under the proposal, fund registrants could continue to include multiple shareholder reports that cover different series in a single Form N-CSR report filed on EDGAR. We do not believe this would affect the usability of the information for shareholders because shareholder reports for each series would separately be available online, and we understand that shareholders generally do not go to EDGAR to find fund shareholder reports. *See, e.g.*, *supra* footnote 74.

[112] *See* Instruction 4 to proposed Item 27A(a). This approach is similar to the approach taken in the summary prospectus, which similarly may describe more than one class of a fund. *See* rule 498(b)(4) [17 CFR 230.498(b)(4)].

for all classes.[113] For disclosure that would differ among classes, such as expenses and performance data, the amended disclosure requirements that we are proposing would specifically require funds to provide certain class-specific information.[114]

We request comment on the proposed scope of disclosure for the annual report, including the following:

1. Would the proposed requirement that a fund registrant prepare separate annual reports for each of its series result in shareholder report disclosure that is easier for fund shareholders to navigate and assess? If not, why not? Would requiring separate annual reports for each series increase the reports' relevance to shareholders and increase the likelihood that shareholders would read them? If not, why not? How would this proposed requirement affect the approach fund registrants currently use to prepare and transmit shareholder reports? Are there ways to modify the proposed instruction that would further improve disclosure for shareholders or reduce burdens for fund registrants? Instead of the proposed instruction, should we continue to permit fund registrants to prepare a single annual report that covers multiple fund series, as they may today? If so, why, and should there be any limits on the number of series for which information is presented?

2. Are there certain types of funds for which a multi-series presentation in an annual report may be useful to shareholders? If so, which types of funds, and what are the

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[113] For example, this would include, among other disclosure items, graphical representations of holdings, the required statistics (*i.e.*, the size of the fund, its number of holdings, and portfolio turnover rate), the narrative discussion of factors that affected the fund's performance, and most categories of material fund changes.

[114] We discuss these proposed requirements in more detail below. *See infra* Section II.B.2.b (discussing the proposed requirement to provide expense information for each class) and Section II.B.2.c.ii (discussing the proposed requirement to disclose average annual total returns for 1-, 5-, and 10-year periods for each class).

benefits of a multi-series presentation to shareholders? Should we permit certain types of funds, but not others, to prepare annual reports covering multiple series of the same fund?

3. Are there ways we could allow multi-series presentations in annual reports while also promoting our goals of providing concise, readable disclosure to existing shareholders that is tailored to their informational needs? If so, how?

4. A fund may have multiple share classes with differing fee structures. Should these multi-class funds be permitted to reflect only one or a subset of classes, rather than all share classes in a shareholder report so long as a fund produces a shareholder report that relates to each share class? Would such an approach reduce the complexity of the disclosure and provide more-tailored information that is specific to a shareholder's investment in the fund? Or, conversely, would such a requirement not benefit shareholders? For example, could it reduce shareholders' ability to compare classes of a fund? Should there be limits on the number or types of classes that a single annual report may cover to reduce potential complexity or length? For example, should we prohibit an annual report transmitted to retail shareholders from including disclosure related to a fund's institutional class? Are there potential complexities or burdens associated with such an approach? Please explain.

b. Scope of Content

As a general matter, we are proposing to allow a fund to include in its annual report only the information that Item 27A of Form N-1A specifically permits or requires.[115] We

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[115] *See* Instruction 3 to proposed Item 27A(a) of Form N-1A; *see also infra* Section II.B.2 (discussing the content requirements of the proposed annual report, as well as certain optional content that a fund may include in its annual report).

We are, however, proposing flexibility with respect to the use of online tools to assist shareholders in understanding the contents of an annual report that appears online or otherwise